

Airfreight & Surface Transportation

Transports: An empirical look at how much of the fulfillment market Supply Chain by Amazon could realistically eat



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Over the last several weeks, the market has been trying to gauge the potential for Amazon Supply Chain Services and what it could mean for the shipping market (UPS and FDX). In today's note, we lay out the supply chain math behind the structural limitations of a forward deployed inventory model and quantify what percent of the market might realistically use "Supply Chain by Amazon."

Background and context. Supply chains are engineered around specific strategic priorities that vary greatly across industries. Design choices reflect the product's characteristics (value density, shelf life, damage sensitivity, handling requirements), customer requirements (order quantity, speed, reliability, customization, kitting), and demand patterns (volatility, seasonality, geographic concentration). They are also shaped by cost-to-serve economics, as shippers work to minimize the sum of transport costs, inventory handling costs (including storage and real estate), and soft costs like financing, obsolescence, and markdowns. Because these factors vary across verticals, Amazon's supply chain is not suitable for many industries.

Our thesis: Amazon's forward-deployed (local-stocking) model is only suitable for a subset of supply chains. That model wins on "cheap-to-carry, fast-to-sell, low-value-density" assortments where the shipper lacks the volume to extract a strategic carrier discount. It is structurally uneconomic for "expensive-to-carry, slow-to-sell, high-value-density, heterogeneous" assortments (unless turns are unrealistically high). The decision between the two models comes down to the trade-off between Holding Costs, Slotting Costs, and Transport Savings ([Exhibit 1](#)). We reached this conclusion by building a comprehensive, transparent toy model to pressure-test the thesis and then abstracting the key findings to package in a more compact, tunable model ([Exhibit 2](#)). The key structural determinants on which companies might be able to use a forward inventory model like Amazon's are product value and how much of the transport savings can be realized (sensitivities in [Exhibit 4](#)). The cost wedge that decides it is not transportation, it is inventory carrying cost plus fixed slotting footprint.

We estimate an upper boundary of ~20% of current physical retail sales could be suitable for a forward-deployed model ([Exhibit 5](#)). Tolerance to data protection and service failure limit the realistic market to low-to-mid single digits ([Exhibit 6](#)), with sector level considerations laid out in [Exhibit 7](#). Our goal here is to present a framework an investor can use to reach a conclusion on how big of a risk this is — as such, while we present our view, there is as much value in the analytical framework (and if you think more than 1 one in 5 suitable shippers might take the plunge, then the risk is higher).

BERNSTEIN TICKER TABLE

Ticker	Rating	9 Jun 2026		Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
FDX (FedEx)	O	USD	331.76	470.00	52.1%	USD	18.26	19.96	23.26	18.2	16.6	14.3
UPS (United Parcel)	O	USD	107.87	130.00	(21.8)%	USD	7.16	7.56	8.70	15.1	14.3	12.4
AMZN (Amazon)	O	USD	244.19	315.00	(13.1)%	USD	7.17	8.78	11.12	34.0	27.8	22.0
SPX			7,386.65									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

AMZN estimate is Reported EPS; AMZN valuation is Reported P/E (x);

Note - target price not adjusted for FDX Freight split

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We do not see a significant risk to UPS and FDX parcel volume from Amazon's Supply Chain Services launch. Amazon has built an amazing fulfillment model, but supply chain constraints limit the addressable market to ~20% of the market (based on retail sales). Of that amount, data and service tolerance factors would likely further limit the risk to a low-to-mid single digit number. Like all things Amazon, one has to pay attention, but the inventory hit to higher value shippers will likely mean continued demand for longer distance transportation networks.

DETAILS

Over the last several weeks, the market has been trying to gauge the potential for Amazon Supply Chain Services and what it could mean for the shipping market (UPS and FDX). In today's note, we lay out the supply chain math behind the structural limitations of a forward deployed inventory model and quantify what percent of the market might realistically use "Supply Chain by Amazon."

BACKGROUND AND CONTEXT

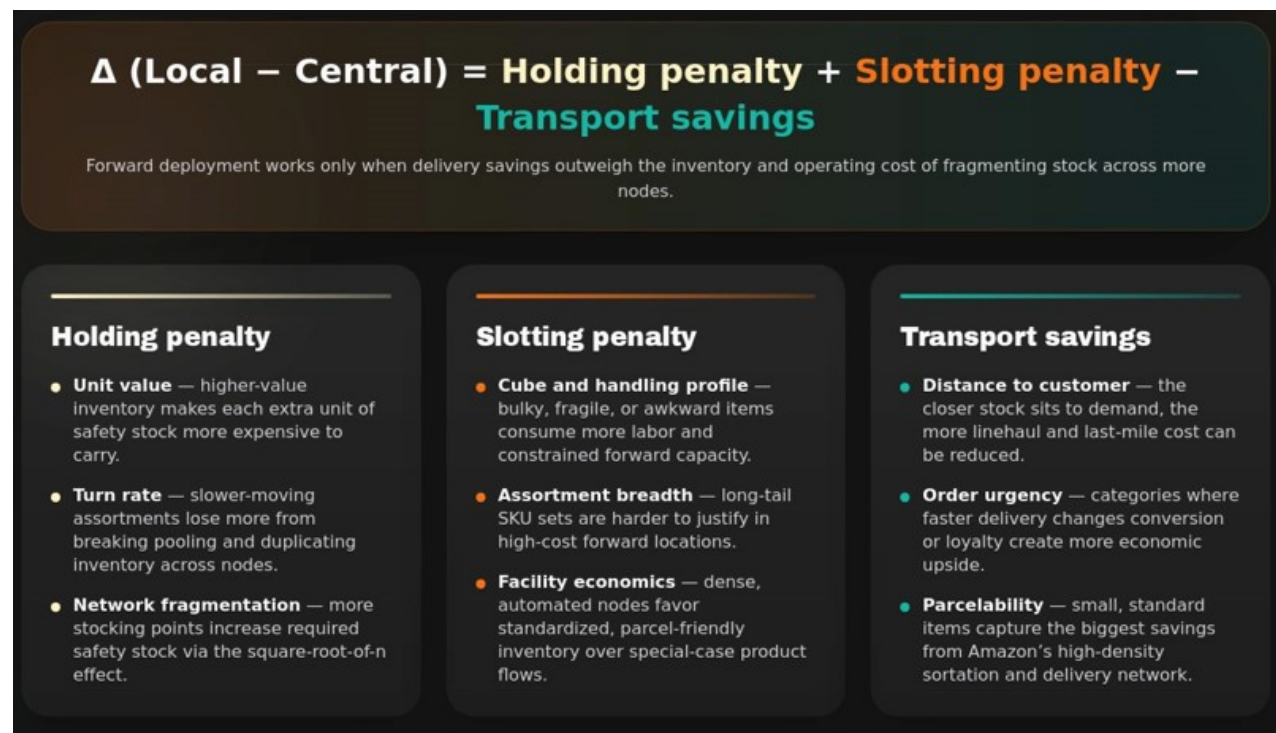
Before we dig into the model, we are going to set the stage by saying that supply chains are not one size fits all. There is no one supply chain to rule them all. Supply chains are engineered around specific strategic priorities that vary greatly across industries. Design choices reflect the product's characteristics (value density, shelf life, damage sensitivity, handling requirements), customer requirements (order quantity, speed, reliability, customization, kitting), and demand patterns (volatility, seasonality, geographic concentration). They are also shaped by cost-to-serve economics, as shippers work to minimize the sum of transport costs, inventory handling costs (including storage and real estate), and soft costs like financing, obsolescence, and markdowns. High-velocity, low-value goods favor dense, forward-deployed networks that minimize last-mile cost and cycle time, while high-value, slow-moving assortments favor centralized inventory to preserve pooling benefits and reduce holding cost. Network topology (number and type of nodes), the balance between in-house assets and outsourced capacity, and the level of automation are all tuned to that specific mix of product, service promise, and economics. As a result, a grocery chain, a fashion retailer, and a B2B industrial distributor may all "ship boxes," but the underlying supply chains are built to do very different jobs—and those structural differences determine whether a model like Amazon's forward-deployed network is a natural fit or a fundamental mismatch. However impressive one thinks the pipes that Amazon has built may be, they may not work for every supply chain...but how do you support that conclusion with data?

THE CRUX OF THE MATTER

Our thesis is based on the idea that the Amazon Supply Chain Services model forward deploys inventory closer to the customer to shorten lead times and lower transport costs at the expense of having more investment in inventory and facilities. The primary risk to UPS or FDX from Amazon "opening its supply chain" is the idea that other shippers will want to use that model. For a retailer operating out of a more traditional fulfillment center set up (call it 2-4 fulfillment centers + longer distance shipping via common carrier), the decision comes down The trade-off between a "local" inventory model like Amazon vs. a more "central" model across Holding Costs, Slotting Costs, and Transport Savings (as illustrated in [Exhibit 1](#)):

EXHIBIT 1: **The crux of our thesis: going local with something like Amazon SCS only makes sense if transport savings more than offset the cost of having and managing more inventory**

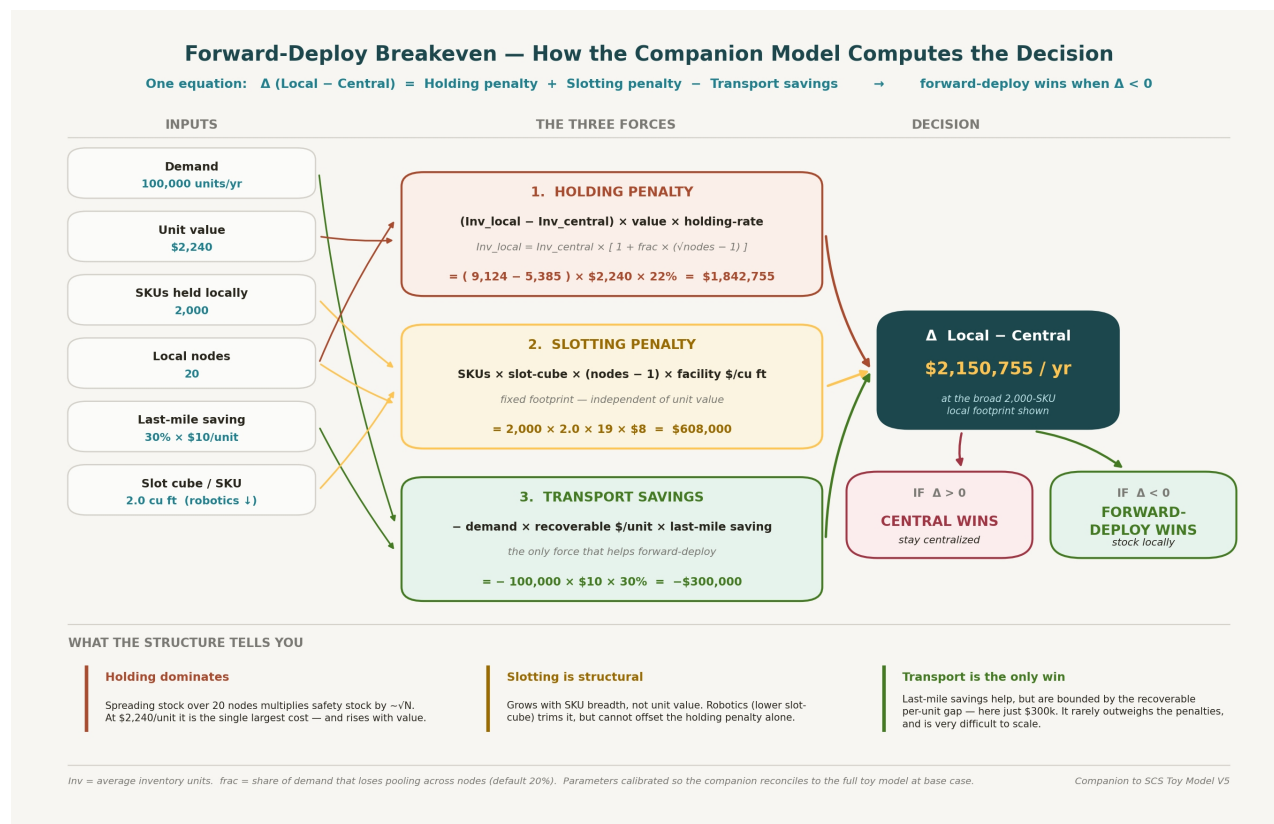
i.e. negative Δ means local stocking is cheaper overall



Source: Bernstein Research

We built a comprehensive, transparent toy model to pressure-test the thesis. The intent of the analysis is to expose the relationships underpinning supply chain trade-offs, and we were not trying to build an absolute forecast with any precision. The model compares two archetypes—a single pooled central node and a multi-node forward-deployed network—holding service levels constant and asking how the cost to serve changes when inventory is fragmented. Incremental inventory in the local model is driven by a damped square-root-of-n effect (partial loss of pooling), forward nodes carry a higher slotting cost because their space is scarcer and more operationally expensive, and forward deployment yields a transport benefit by shortening average delivery distance and lowering factor cost. At the SKU level, this structure favors low-value, high-turn, parcel-friendly items and penalizes high-value, slow-turn, bulky assortments; we then scale that intuition to retail verticals using industry sales weights and suitability scores, and further haircut the “structural” opportunity by asking what share of shippers are realistically willing to share data with Amazon and accept platform dependence. Once we had the comprehensive model built, we ran a number of sensitivities and narrowed down the 10-12 key assumptions that matter. While the comprehensive model relies on over 50+ assumptions, we wanted to abstract away the noise and make the primary assumptions visible and tunable. The base calculation of the abstract model is shown below in [Exhibit 2](#).

EXHIBIT 2: Quantifying the tradeoffs on whether a merchant might want to move to a forward-deployed inventory model like Amazon



Source: Bernstein Research

EXHIBIT 3: Our abstract toy model calculates the cost differential of deploying inventory locally

Forward-Deploy Breakeven — Simple Companion Model

One decision: does stocking locally beat shipping from a central hub? Δ = Holding penalty + Slotting penalty – Transport savings. Local wins when $\Delta < 0$.

INPUTS (edit yellow cells)

Annual demand (units)	100,000
Avg unit value (\$)	\$50
SKUs held locally	2,000
Local nodes	20
Last-mile saving multiplier (×\$10/unit)	0.4×
Slot cube per SKU (cu ft)	2.0

Fixed parameters (from full model)

Holding rate (%/yr)	22%
Recoverable transport \$/unit	\$9.0
Facility \$ per cu ft/yr	\$8.0
Service factor Z	1.65
Lead time (wk) × repln	2.0
Fraction of demand that fragments	20%

THE THREE FORCES (per year)

	\$ / year
Central avg inventory (units)	5,385
Local avg inventory (units)	9,124

1. Holding penalty (cost of going local)	\$41,133
2. Slotting penalty (cost of going local)	\$608,000
3. Transport savings (benefit of going local)	-\$360,000

 Δ Local – Central (\$/yr) \$289,133

Verdict CENTRAL WINS

Total units shipped per year
Inventory value per unit (holding-cost driver)
Assortment breadth per local node
Forward-deploy footprint (1 = central)
Per-unit transport saving vs central long-haul
Shelf space per SKU — LOWER for robotic/Kiva

Slow-moving share that loses pooling

Pooled hub stock, calibrated to full model

Local = Central × $[1 + \frac{V_{nodes}-1}{V_{nodes}}]$

Extra inventory × value × holding rate

SKUs × slot cube × (nodes–1) × \$/cu ft

Demand × \$/unit × discount (negative = saving)

Negative $\Delta \rightarrow$ local stocking cheaper overall

Source: Bernstein Research

EXHIBIT 4: The key structural determinants on which companies might be able to use a forward inventory model like Amazon's are product value and how much of the transport savings can be realized

Breakeven map: unit value × transport-saving multiplier (Δ \$/yr)

Teal = forward-deploy wins ($\Delta < 0$). Saving multiplier scales the recoverable \$10/unit baseline (1.0× = full \$10; >1.0× = extra line-haul/zone-skip savings — unbounded, not a % of cost). Local wins only in the low-value / high-multiplier corner.

value ↓ / saving multiplier →	0.2×	0.4×	0.6×	0.8×	1.0×	1.2×
\$50	\$469,133	\$289,133	\$109,133	-\$70,867	-\$250,867	-\$430,867
\$100	\$510,266	\$330,266	\$150,266	-\$29,734	-\$209,734	-\$389,734
\$200	\$592,532	\$412,532	\$232,532	\$52,532	-\$127,468	-\$307,468
\$400	\$757,063	\$577,063	\$397,063	\$217,063	\$37,063	-\$142,937
\$800	\$1,086,127	\$906,127	\$726,127	\$546,127	\$366,127	\$186,127
\$1,600	\$1,744,254	\$1,564,254	\$1,384,254	\$1,204,254	\$1,024,254	\$844,254

Source: Bernstein Research

ESTIMATING THE ADDRESSABLE MARKET

We now turn our attention to market sizing. We estimate an upper boundary of ~20% of retail sales could be suitable for a forward deployed model (Exhibit 5). Tolerance to data protection and service failure limit the realistic market to low-to-mid single digits (Exhibit 6), with sector level considerations laid out in Exhibit 7. Our goal here is to present a framework an investor can use to reach a conclusion on how big of a risk this is - as such, while we present our view there is as much value in the analytical framework (and if you think more than 1 one in 5 suitable shippers might take the plunge, then the risk is higher). There two sets of issues to consider:

- Suitability: What percent of industry sales under consideration could use the Amazon supply chain model? We assign each retail vertical a 0–1 suitability score based on how its typical products line up with the conditions under which forward deployment beats centralization—low unit value, medium-to-high turns, parcel-friendly form factor, and meaningful transport savings after accounting for higher inventory and slotting costs.

- Tolerance: How many companies in that industry would A) trust Amazon with the data and B) be OK riding second fiddle on the Amazon platform. For these factors, one has to take a more common sense approach. We apply data and platform tolerance scores (0–1) by asking, for each vertical, what fraction of shippers would realistically be willing to share detailed demand and customer data with Amazon and accept operational dependence on its network, including the risk that their boxes may be prioritized behind Amazon's own.

EXHIBIT 5: Directionally, we believe around 20% of retail sales ex auto could one day be suitable to a forward deployed model, but data and service tolerance will significantly limit the uptake

Turn band	Comments	Suitability score	Sales	Inventory	GM as Pct of Sales (x100)	Ecomm Sales	Weight	Data_tolerance (0–1)	Platform_tolerance (0–1)
L	Parts & tires: moderate unit value, medium turns, parcel-mixed; some Amazon fit on lighter SKUs.	0.15	120,394	24,555	48		3%	0.20	0.20
L	High ticket, bulky, slower turns; limited parcel fit, though décor slice fits better.	0.10	140,504	22,117	51	4749	3%	0.30	0.25
M	Mix of small CE (good fit) and large appliances (poor fit); GM ~30%, e-com non-trivial.	0.30	91,051	10,942	29.5	2722	2%	0.15	0.15
L–M	Bulky, heavy, often project-based; limited parcel share; some tools/consumables fit.	0.10	508,390	81,613	35.4	3849	12%	0.25	0.25
H	Low unit value, very high turns, but a) perishability and b) grocery's local store network; Amazon good for a subset of center-store and pantry.	0.20	948,836	60,468	28.7	27385	22%	0.20	0.15
H	High turns, decent e-com potential; mix of Rx (regulated) and OTC/beauty (strong Amazon fit). R	0.40	397,019	37,993	32.8		9%	0.15	0.15
H	Fuel is out of scope; C-store inside sales are small; Amazon role minimal.	0.05	734,337	17,533	0	0	17%	0.30	0.30
M	Apparel basics/accessories: low/med ticket, medium turns, high e-com share; good Amazon fit for a slice, but fashion/brand issues limit full migration.	0.50	293,290	53,124	49.8	20649	7%	0.25	0.20
M	Many items small, parcel-friendly; some bulky (equipment). E-com meaningful.	0.40	98,941	22,938	45.6	5918	2%	0.30	0.25
H	Huge sales weight, mix of low-value, high-turn consumables (strong fit) and bulky/non-parcel; also many have strong in-house DCs.	0.25	860,322	94,097	26.8	0	20%	0.10	0.10
L–M	Heterogeneous; some specialty niches are good Amazon fits, but overall long-tail, lower turns.	0.15	153,779	21,184	54	0	4%	0.35	0.30

Potential store base retail at risk
Percent already sold online
Incremental market opportunity

21%
2%
20%

Tolerance Weighted
Percent already sold online
Incremental market opportunity

4%
2%
2%

Note: the TAM of ~20% could overstate the suitability of Amazon SCS, as economies of scale within an existing supply chain (and associated penalties for making a supply chain smaller)

Source: US Census, Bernstein estimates and analysis

EXHIBIT 6: **Not all that could use Amazon SCS will – data and service tolerance will significantly limit the addressable market**

Sensitivity of Addressable Market to Data / Service Tolerance (averaged)

		everyone service tolerant					1/100 service tolerant			
			one in 1	one in 2	one in 4	one in 8	one in 16	one in 32	one in 64	one in 100
Everyone OK sharing data	--->	one in 1	21%	16%	13%	12%	11%	11%	11%	11%
		one in 2	16%	11%	8%	7%	6%	6%	5%	5%
		one in 4	13%	8%	5%	4%	3%	3%	3%	3%
		one in 8	12%	7%	4%	3%	2%	2%	1%	1%
		one in 16	11%	6%	3%	2%	1%	1%	1%	1%
1/100 OK sharing data		one in 32	11%	6%	3%	2%	1%	1%	0%	0%
		one in 64	11%	5%	3%	1%	1%	0%	0%	0%
	--->	one in 100	11%	5%	3%	1%	1%	0%	0%	0%

Source: US Census, Bernstein Research

EXHIBIT 7: At a sector level, merchants may or may not find Supply Chain by Amazon suitable while those that do still have to get over Data and Platform tolerance issues

NAICS	Industry	Suitability notes	Data and Platform Tolerance Notes
4413	Automotive parts, accessories, tire stores	High sku, slow moving	Many see Amazon as a competitor; distribution is strategic, slow-moving parts push caution.
442	Furniture & home furnishings	High ticket, bulky, slow; only a small décor/small goods slice is teal-region.	High-ticket branded items and service complexity; some smaller décor players more open.
443	Electronics & appliance stores	Mix of small CE (good) and big appliances/TVs (bad); median basket is well above your "low value" grid. Your model would only like accessories and small devices.	Heavy direct competition with Amazon on national brands; low willingness overall.
444	Building materials & garden	Heavy, bulky, project-based; some tools/consumables are a fit, but likely well under half the sales.	Big chains see logistics as strategic; smaller or long-tail suppliers somewhat more open.
445	Food & beverage stores	Only center-store non-perishables fit low-value/high-turn logic; fresh/frozen/alcohol and local convenience usage are poor forward-deploy candidates.	Grocery data and network highly strategic; only a minority likely to accept both risks.
446	Health & personal care (pharmacies, etc.)	Lots of OTC, beauty, and personal care are teal-ish, but Rx and some regulated categories aren't. Trim slightly but keep this as one of your highest scores.	High sensitivity around Rx/health data; Amazon is a strong rival in OTC/beauty.
447	Gasoline stations	Fuel is out of scope; only the C-store subset fits, and that's a small share of total 447 sales.	Fuel out of scope; some C-store operators may use Amazon for ancillary categories.
448	Clothing & clothing accessories	Basics/accessories are a decent fit, but fashion risk, returns, and brand issues limit actual forward-deploy usage. Median SKU isn't as clean a fit as the average.	Brand and customer relationship important; smaller fashion brands more open than big chains.
451	Sporting goods, hobby, books	Many small, parcel-friendly items, but significant share in bulky or try first gear.	Mix of niche brands and chains; moderate openness but many see Amazon as competition.
452	General merchandise (dept. + clubs/supers)	Massive heterogeneous basket; clubs/supers have lots of low-value, high-turn consumables, but also bulk hardlines.	Major direct competitors to Amazon; logistics and data are core strategic assets.
453	Misc. store retailers	Heterogeneous, long-tail, often lower turns; only some specialty niches are good fits.	Fragmented long tail; smaller players often more pragmatic about using Amazon.

Source: US Census, Bernstein Research

MODELING NOTES

HOLDING PENALTY

- **What it is:** the extra annual carrying cost created when inventory is moved from one pooled, centralized node into many forward-deployed nodes.

- **Why it happens:** fragmented inventory loses pooling benefits, so the system needs more total safety stock to maintain the same in-stock rate.
- **When it is largest:** high-value, slow-turn, broad-assortment categories where each extra unit of duplicated inventory is expensive to hold.

HOW IT IS CALCULATED

- Estimate the **centralized inventory** position for the SKU or category.
- Apply a **multi-node inventory factor** to estimate inventory required in the local model.
- Take the **incremental inventory**: local inventory minus central inventory.
- Multiply that incremental inventory by the **annual holding-cost rate**.
- Formula: **Holding penalty = (Inventory_{local} – Inventory_{central}) × carrying-cost rate.**

MODEL ASSUMPTION

- We assume local inventory scales with a **damped square-root-of-nn** relationship rather than the full textbook square-root law.
- Specifically: $\text{Inventory}_{\text{local}} = \text{Inventory}_{\text{central}} \times [1 + \frac{\text{frac} \times (\text{nodes} - 1)}{\text{nodes}}]$
- In the base case, **nodes = 20** and **frac = 20%**, implying an inventory multiple of about **1.69x** versus a single centralized node. The **pure square-root law** assumes independent demand across locations, which would blow inventory up by $\sqrt{n}$ when you go from 1 node to n nodes. In reality, store demands are **correlated** and networks use smarter policies, so you only see a **fraction** of that theoretical increase. The frac assumption we built into our toy model is essentially a realism knob that adjusts down the holding penalty.
- We apply the holding-cost rate only to the **incremental 0.69x** of extra inventory created by fragmentation

SLOTING PENALTY

- **What it is:** the extra annual operating cost of placing inventory into scarce forward-deployed capacity instead of a lower-cost centralized node. A typical fulfillment center might have up to 30% of the floor space dedicated to the physical presentation of inventory for picking, inclusive of robotics and runway.
- **Why it happens:** local fulfillment space is more constrained and more operationally expensive, so each unit stored there carries a higher slotting cost.
- **When it is largest:** bulky, awkward, fragile, or low-turn items that consume disproportionate space relative to the delivery savings they create.

HOW IT IS CALCULATED

- Estimate the **inventory volume** that must be held in the local model.
- Apply the **incremental slotting cost per unit** for forward-deployed capacity versus central capacity.
- Multiply the **local inventory position** by that cost differential.
- Formula: **Slotting penalty = Inventory_{local} × (slotting cost_{local} – slotting cost_{central}).**

MODEL ASSUMPTION

- We assume slotting is a **recurring capacity cost** that applies to all inventory placed into the local network, not just the incremental safety stock.
- In the toy model, this is represented as a **per-unit annual slotting charge** on local inventory.
- The intuition is that every unit occupying forward space displaces other inventory in a dense, high-value node, so the economic test should price that constrained capacity explicitly.
- This makes the penalty especially relevant for **slow-turn, cube-heavy, or broad-assortment** categories where local space is consumed without enough transport savings in return.

TRANSPORT SAVINGS

- **What it is:** the reduction in delivery cost created by positioning inventory closer to the customer in a forward-deployed network and using cheaper contractor / gig delivery drivers.
- **Why it happens:** local inventory shortens average ship distance and shifts volume out of longer, more expensive parcel and linehaul moves.
- **When it is largest:** small, parcel-friendly, high-velocity items where faster and shorter delivery materially lowers last-mile cost. Doesn't work for big and bulky.

HOW IT IS CALCULATED

- Estimate the **average cost to serve** an order from the centralized model from market rate cards, assuming that a shippers discount from list scales with volume (making for hire market less expensive for larger shippers).
- Estimate the **average cost to serve** the same order from the local model based on parcel benchmarking.
- Take the difference: **central transport cost minus local transport cost**.
- Multiply by the **annual order or unit volume** that benefits from local fulfillment.
- Formula: **Transport savings = (transport cost_central – transport cost_local) × annual volume**.

MODEL ASSUMPTION

- We assume forward deployment creates a **fixed per-order or per-unit transport benefit** for demand served from local nodes.
- In the toy model, that savings is the core economic **offset** to the holding and slotting penalties.
- The assumption is strongest for **standardized parcel items** that can fully use Amazon's dense sortation and last-mile network.
- The assumption is weaker for **bulky, low-density, or low-urgency** products where shorter distance does not translate into enough cost savings to pay for distributed inventory.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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An associate contributing to this report has a financial interest in the equity or debt securities of Amazon.Com Inc.

VALUATION METHODOLOGY**FedEx Corp**

We reach our one-year price target of \$470 by raising our target multiple to 19.4x our unchanged NTM+1 EPS estimate to reflect updated sum-of-the-parts math.

United Parcel Service Inc

We reach our one-year PT of \$130 by using our NTM+1 EPS estimate of \$8.94 with a multiple of 14.5x.

Amazon.Com Inc

We value Amazon on a Price Target of \$315 using a 50/50 combination of SOTP method which values Amazon's largest segment (Retail) at a 2027E EV/Sales multiple of 3x, and a DCF using a WACC of 9% and a terminal growth rate of 3.5%.

RISKS**FedEx Corp**

Downside risks to our price target for FDX include: a recession or further slowing of the global economic recovery; changes in government regulation (route authority, security standards, work limits concerning hour of service for pilots, drivers, or other personnel, or other mandates) which could impact the profitability of the business; changes in tax or legal classification of independent contractor workforce in ground; changes to the company's status under the National Railway Labor Act; sustained high oil prices may result in lower than expected yields as customer's trade down to lower cost service options or otherwise negatively impact demand for transportation services; geopolitical disturbances that limit global trade flows; and changes in foreign exchange rates. There are also downside risks from the integration of the Express and Ground networks and a potential work stoppage with the pilots union (where the contract became amendable in November 2021).

United Parcel Service Inc

Risks to our target price for UPS include: a slowdown in US or Global economic recovery; changes in government regulation (route authority, security standards, work limits concerning hour of service for pilots, drivers, or other personnel, or other mandates) which could impact the profitability of the business; labor disruptions in the largely unionized workforce; sustained high oil prices may result in lower than expected yields as customer's trade down to lower cost service options or otherwise negatively impact demand for transportation services; inability to procure the services of third party providers necessary for the delivery of services in the supply chain and freight segment; geopolitical disturbances that limit global trade flows; and changes in foreign exchange rates. A large acquisition may also be a risk and an increase in price based competition in the domestic US market (which we view as a remote possibility) would materially impact our expectations of growth and profitability.

Amazon.Com Inc

Downside risks to our price target:

- Amazon is currently under investigation in multiple regulatory proceedings across both anti-trust and privacy, domestically and abroad. Any regulations or actions by either the FTC, DOJ, or EU agencies could negatively impact the company's financials and valuation.
- New investments such as Groceries, Healthcare, AI, and Other Bets could result in a new investment cycle resulting in elevated capital intensity, compressing operating margins, and lower FCF.
- Share loss across core businesses from new eCommerce entrants and main AWS competitors could derate the multiples associated with both core businesses

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
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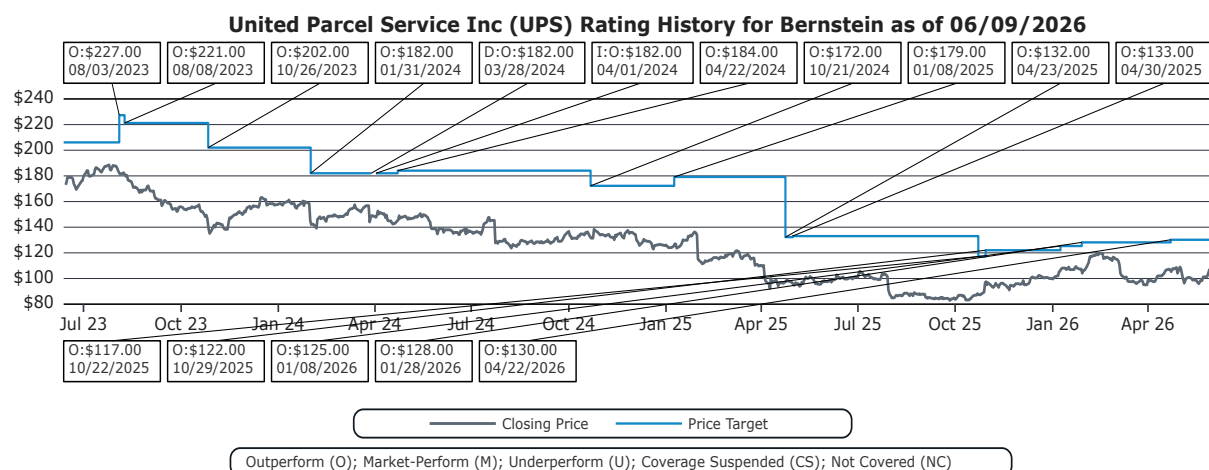
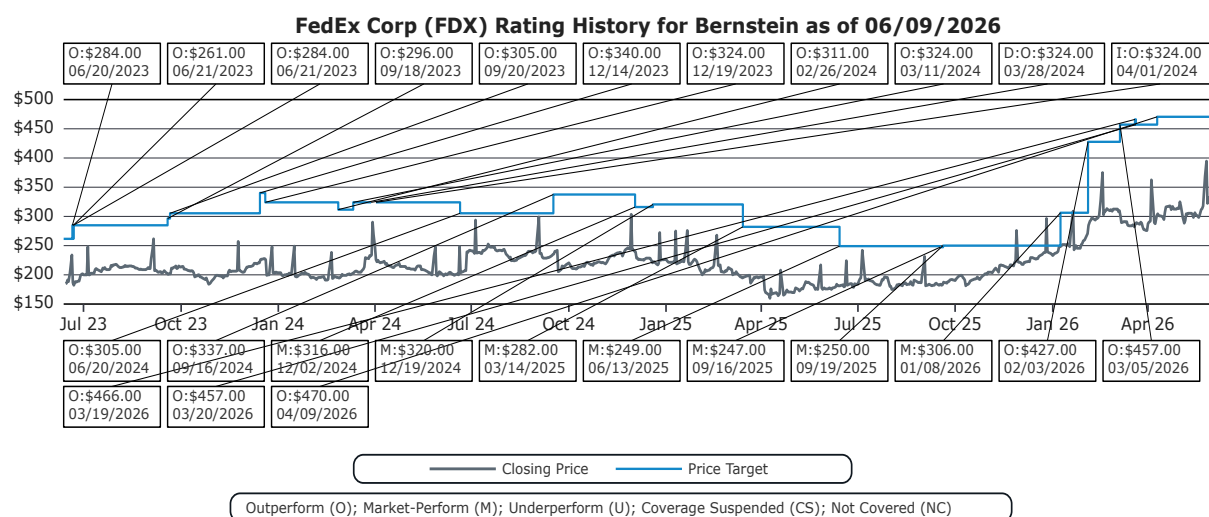
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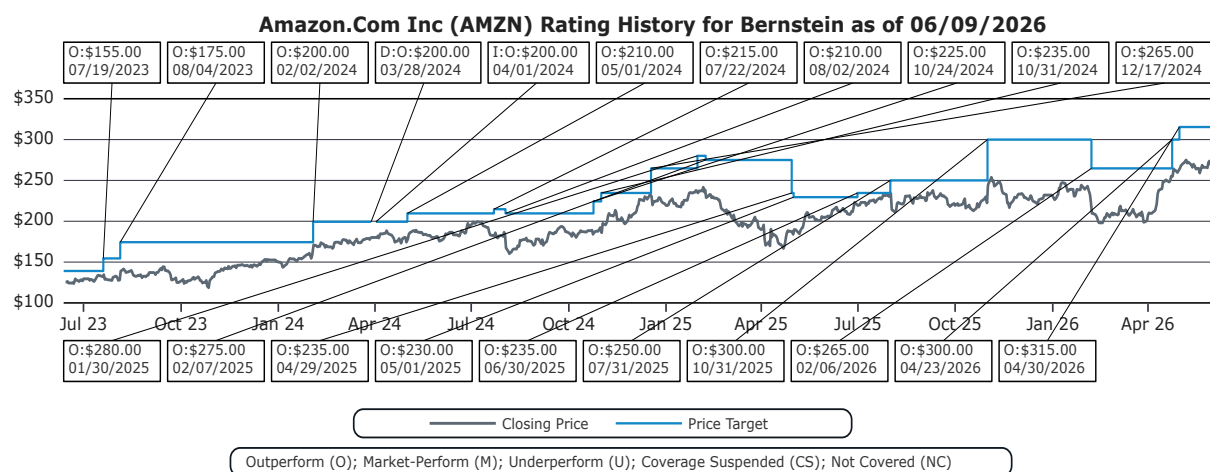
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